

Section 4

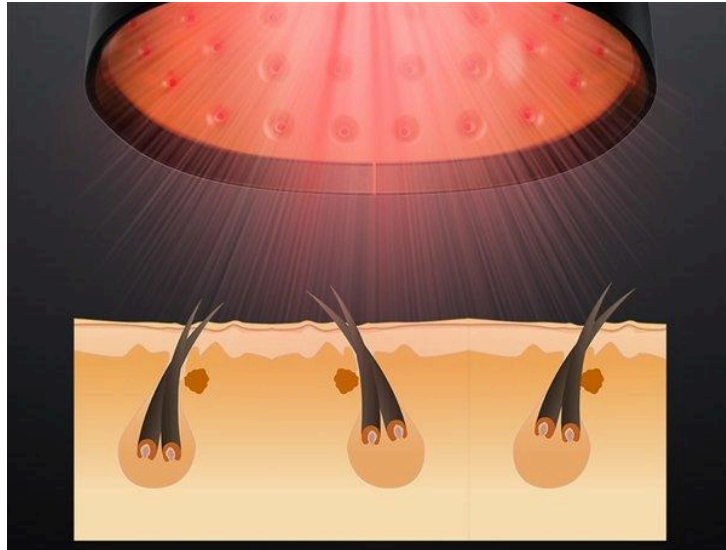
Xiaomi launches a hair-growth stimulating cap for bald people

According to a survey conducted by the Chinese Health Commission, more than 250 million people in the country have hair loss, thinning hair or baldness. In addition, the data also shows \ that, on average, 1 in 4 adult men in China has hair loss between the ages of 20 and 40, while 30 is the age with the most hair loss.



Grasping consumer sentiment, Xiaomi recently launched a laser hair growth stimulating hat on Youpin community fundraising platform, called COSBEAUTY LLLT. The product is advertised to stimulate hair growth in 12 weeks, accompanied by a fundraising price of 1499 yuan (about 4.9 million).

COSBEAUTY LLLT laser hair growth stimulator is equipped with 81 laser beams that cover your entire scalp. Visually, the product looks like a normal cap and weighs only 210 grams.

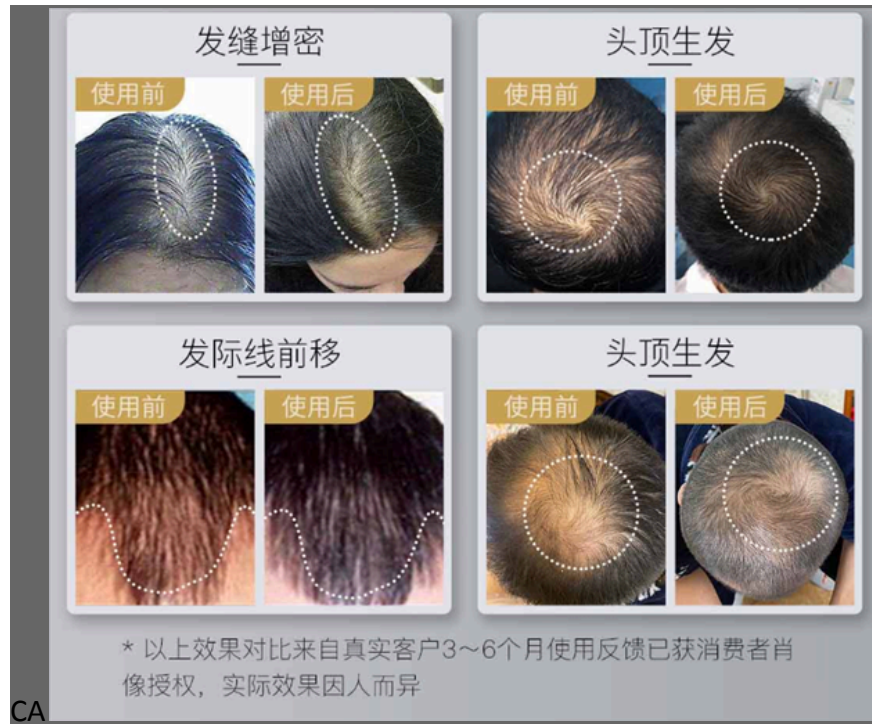


According to the manufacturer, COSBEAUTY LLLT hair growth cap operates under two main mechanisms:

1. Preventing androgen from destroying hair follicles

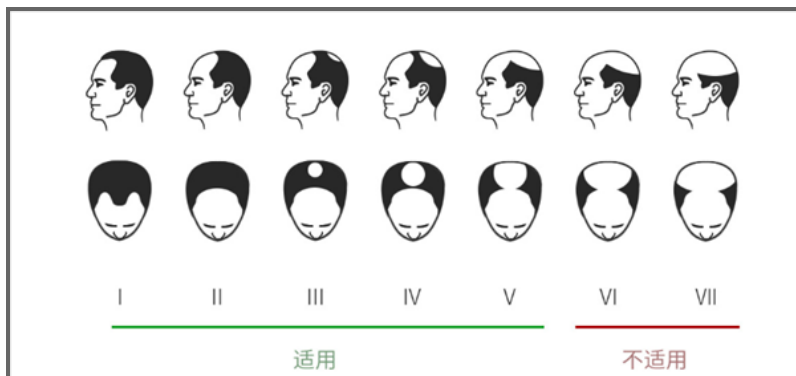
According to health experts, hormonal factors also contribute to male pattern baldness, orrogen hair loss. In particular, the hormone is specifically related to the condition called dihydrotestosterone (DHT).

Normally, just under 10% of testosterone in the body is converted into DHT, and most of us don't have to worry much about DHT levels. However, excessive DHT in the body will lead to hair loss. Xiaomi's hair-growing cap will prevent DHT from binding to the hair follicle (AR) receptor, thereby protecting the hair follicles from being damaged by DHT.



2. Supplementing the energy elements ATP, ROS, NO to regenerate hair follicles

Human hair follicles are divided into several stages, including growth, degeneration and rest. COSBEAUTY LLLT will use a medical laser of 650nm wavelength to reach the roots, regenerate hair follicles that are in the process of degeneration and rest, thus entering a healthy growth phase. .



According to Xiaomi, only a handful of hair growth stimulators are eligible for certification and COSBEAUTY LLLT is one of them. Products not only pass the stringent CFDA certification standards, but also FDA certifications, fully meet technical requirements and ensure user safety.

[[Product Highlights]]

- Certified by China CFDA and US FDA
- Laser frequency 650 nm
- Continuous use 10 times, see results in 12 weeks
- Light weight only 210g
- Cut laser emission every 30 minutes.

[[How to use]]

1. Remove the cap on the hair and wearing a baseball cap outside
2. Connect the USB port of the cap to the power supply bank or other
3. hat hair. The smart sensor switch will automatically turn on the hair transplant tool.
4. After 30 minutes of treatment, the transplant cap can be automatically removed after the power is off.
5. Finished hair regrowth into the storage bag.

[[Features]]

- Use for the first 2-4 weeks to help control oiliness of the scalp. - Use 2-3 months. Can strengthen hair roots, inhibit hair loss.
- Use 3-6 months, can see hair and growth. Of the hair clearly
- using more than 6 months, the hair density increases Approximately 18 pieces / sq cm
- * The above data are from clinical trial reports, there may be differences.

[[Specifications]]

Brand Name: Xiaomi

Model Number: Xiaomi COSBEAUTY LLLT Electric laser generator

Assembly status: Ready size: 1:10

Features: Control. channel: 7 channels

Product size: 203.3 * 178.7 * 87.6mm

Laser power: 5mW / piece

Laser wavelength: 650nm $\pm$ 10nm

Power supply condition: power supply Handheld light (5.0V 2A)

suitable for head circumference: 58cm-61cm

Product weight: 210g (host)

Number of laser lights: 81

Power plug: USB2.0

Treatment frequency: 30 minutes / every other day

[[Recommendation]]

- Can only act on living hair follicles
- COSBEAUTY LLLT laser hair generator has been twice certified by China CFDA and US FDA.
- COSBEAUTY LLLT laser hair generator is suitable. For hair loss like Seaborg. Hair loss from stress, alopecia areata hair loss after childbirth and repair after both male and female hair transplantation
- Since all lasers are integrated into the cap to emit light, the light will feel a little hot, can accelerate capillary blood circulation, accelerate hair follicle repair

- hair growth. It will follow the growth phase of the hair follicle (2-6 years) - the proliferative phase (2-3 weeks) - the resting phase (2-3 months) - the growth phase (2-6 years).
- We do not need to wash your hair before use. But the effect will be better after washing. While there is no dust and grease on the scalp, which can be ensured that the scalp is irradiated directly with the laser
- the COSBEAUTY LLLT laser hair generator can be used for high-density, liquid hair.

Mock-up test

1. Explain which of the targeting strategy is probable for this cap. Provide reasons. What is the disadvantage of this strategy? (Group 1)

Xiaomi is using a concentrated (Niche) Marketing strategy because the product focuses on a specific group of consumers, people who are suffering from hair loss, thinning hair, or baldness, especially adults aged around 20–40 and men experiencing male pattern baldness. The cap is designed specifically to solve this problem rather than appeal to the mass market.

Reason

- Focuses on solving hair loss and thinning hair.
- Developed for individuals seeking effective hair regrowth solutions.
- Features advanced Low-Level Laser Therapy (LLLT) with 81 laser beams.
- Positioned as a premium product for customers willing to invest in hair restoration.

Disadvantages:

- Smaller market size compared to mass-market products
- Heavy dependence on one customer segment
- Demand may decline if better treatments or competitors enter the market

2. Identify alternative customer segments and describe potential offers (Group 1)

3. What factor makes customers decide to buy or not to buy a product? Explain based on new product characteristics. (Group 2)

Reasons for	Reasons against
-------------	-----------------

- The reliable research support that the cap could thicken the hair - Could grow and thicken hair without getting hurt - Convenience to maintain the recovery routine - No pills or any medication required for the process/ no need for hair implanting which requires more money and recovery period	- The price is high - The weight is not convenience - Takes time and consistency to actually see the effects - Does not work on dead hair cells, some people might need to actually seek professional help - It is a little hot when wearing it so some people may not resist - It is a Chinese brand, meaning the customers sentiment on the product is mostly neutral or negative toward chinese product - working on people in the age of 20 - 40 only
Overall evaluation (how quickly is it for people to adopt this product?) People with a bald issue may turn to hair implanting instead due to the obvious result. The technology has complex usage so they may not adapt so quickly. Additionally, people with bald and significant hair loss issues are mostly in the age of more than 40. Therefore, the people who face the real problem may not decide to purchase. However, XiaoMi is a reliable brand with high credibility, plus the research is provided by the reliable institute, so people who would like to reserve their hair volume may be interested.	

4. Suggest the potential co-brand partner for Xiaomi. Explain how the co-brand p

artner will benefit from collaboration with Xiaomi (in terms of brand awareness, image, or loyalty). Provide reasons why the partner should be interested in this co-branding deal (Group 2)

The interesting partner would be MLB and Bangkok hospital. MLB is a fashion baseball cap brand, this would raise the public brand awareness as MLB is an already well known brand among the people who are interested in fashion and caps, it would help with the trustworthiness of the innovation as MLB has been a long established brand producing quality products. Moreover, people who normally have this problem don't want to be seen as bald people who want to solve the problem. Collaborating with MLB could make the customer be seen fashionable, not the patient.

Another one would be Bangkok Hospital, this would solve the part of credibility of the innovation with the collaboration as the hospital needs to provide reliable and trustworthy products to the patients/customers.

The reason these brands should be interested in this deal is because the product itself could potentially boost the brand image for them and benefit from adopting the unseen innovation into their brands.

5. This product is sold for around 10,000 baht. Justify if the current price is suitable by considering reference prices that customers may use in comparing with the product's price (Group 3)

Comparing to

1. Hair serum
 - a. Minoxidil : Outernal (290 - 1,200 baht) Internal (200-500 baht)
 - b. Finasteride : (490- 785 baht) requires long-term continuous use and the cumulative cost is high
2. Hospital treatment: Consult and Medicine (1,500-3,500 baht)
3. Hair lasers: (1,000-3,000 baht) per session
4. ALMI Nano Fat / PRP : (5,900-35,000 baht) Can not confirm the result

Compare with salon therapy

A full 12-week salon laser course costs nearly the same as the cap, while the Xiaomi device is reusable for years without recurring service fee. They require long term care and maintenance, plus, we can not promise the result that the patient expected.

5. Hair Transplant/ Hair restoration surgery
 - a. Fixed Package (35,000- 300,000 baht) requires long recovery time but can see the result instantly
6. Hair wig (fake hair) : (1,200-8,900 baht) based on quality of the hair

These two have a straight outcome, but it could look unnatural.

Product highlights (value) support:

It adapts 650nm laser, the whole machine weight only 210g, automatic power-off in 30 minutes, passes strict medical certifications

6. From the selling price, do you think the company uses which new product pricing strategy? Provide your reasons. (Group 3)

Market-penetration pricing because it's a low price product compared to other hair restoration products. It has both FDA and CFDA certification, and the technical threshold is high, so the brand might have higher cost, so the price that they had set might not get much profit. So the company focuses on expanding the economy of scale. (tends to have high competition later on)

However, the choice that company had made to do penetration price is great as they could aim market share and as xiaomi is a big brand, new product that is still in medium price range (or low comparing to other method) is a great choice,

[Free Shipping] Xiaomi Youpin COSBEAUTY LLLT Hair Growth Cap 81 points laser hair growth cap lightweight and easy to carry -30D

Share:    



COSBEAUTY LLLT HAIR GROWTH CAP

หมวกเลเซอร์ปลูกผมแบบไร้รังสี



฿ 11,999 [-฿26,399] -55%*

0 Reviews

Discount Coupon: 1999-200 1000-10 More>

JD Points: Receive up to 5999

Options: Orange yellow

1 Add to Cart



Taolishi Xiaomi Global Store

Talk to the shop

Delivery at

Lumpini, Pathumwan, Bangkok

In stock

Delivery and after-sales service provided by the shop owner.

Fast delivery

Payment methods:



Genuine copyright

7 days return

7. From the picture, what are different types of pricing strategies and sales promotion that the reseller used (Group 4)

- discount pricing + promotion pricing (55% off - from THB 26,399 to THB 11,999, receive up to 5999 JD points + free shipping)

8. Suggest price adjustment strategies (except discount/promotion) that can be added to the initial price. Briefly explain your pricing suggestion and provide reasons. (Group 4)

- Geographical pricing, adjust prices depending on the customer's location by considering shipping costs, ensures the seller covers logistics costs
- Dynamic pricing - adjusting prices continuously to meet demand of consumers for this product at a given time to maximise sales

9. Currently, the product is sold via e-marketplace (lazada, shopee) and other online resellers. What are the advantages and disadvantages of this channel? Is it a suitable channel? Explain your reasons based on product, customer, and other environment factors. (Group 5)

Advantages:

- Coupons, code and discount available
- Lower price compare to physical storefronts
- Offers wider reach of customers
- 24/7 data availability:
- Good for customers who don't like asking questions in person (introvert/social anxiety)
- Global market reach: businesses are not limited by local foot traffic and can expand their audience infinitely.
- Easy Scalability: faster to add new lines of products and reach new demographics online than to open physical storefronts.

- Return policy: a customer can return the product just by a click, so we lose advantage in case they just want to do a free trial.
- Spaylater – easy to obtain free credit to use
- Honest review provided - with it being via online real user can share their honest experience anonymous or not anonymous without fear of being discriminated against.

Disadvantages:

- Cannot demonstrate a technical involvement of the product; For a +7,000 baht device, customer want to see, hold, and be convinced it works before paying
- hard to build trust for health claims: review can be faked, scam reputation; this marketplace also restrict unverified medical claims
- channel conflict from other resellers: unauthorized resellers cause price undercutting, margin erosion(race from the bottom)
- No customer qualification: The device might not be suitable for advanced baldness, yet a marketplace lets an unsuitable buyer buy it → dissatisfactory, bad reviews, returns
- Platform dependence: fees, algorithm exposure, and little control over brand presentation
- Fitting, usage coaching, warranty handling, and progress follow-up are weak

It's not the most suitable channel for this type of products because customers are mostly required to test before purchasing. With the product price being in the range of expensive, customers will go through a lot of thinking and decisions to see if it's actually worth their money. The combination of offline and online stores will satisfy customer expectations (can try physically, then decide whether to buy now or with online promotions).

10. Suggest different types of retail channels that can be added to complement the online channel channels. Also, describe additional functions/services that channels can perform that would benefit customers, and help increase sales. (Group 5)

Channel to add:

- ***Physical experiential Retail (shopping mall):*** Xiaomi's official physical store in a shopping mall so the customers can **touch and try products** first before buying. It created trust and honesty to the customers. + can have a **membership program** where customers can collect points if purchased + provide when customer **product guarantees** are unsatisfied with products they can refund or exchange for a new product in case of faulty or damaged products.
- **Partnering** with hair loss clinics – reach the specific target group: **professional consultation and diagnosis**
- Partnership with Salons / barbershops / Hair studios – **customers see and try the cap, ask questions, and feel the build quality** before the big spend.

- Distribution in general merchandise stores – customers can compare features/price&promotions with other brands’ products; **Honest expectation setting**
- **Live / Social commerce:** TikTok Shop, FB/IG, Live with KOLs): live demonstration and credible testimonials

11. Propose a key message and identify communication objectives. Which communication tools do you think are suitable to promote this product? Suggest a few tools that can be used in combination. Explain your reasons why you select these tools, based on characteristics of a product, target consumers, and each communication tool. (Group 6)

Key message

“Regrow Confidence with Safe, Clinically Proven Hair-Growth Cap”

Communication Objectives -

- Create awareness for Xiaomi's COSBEAUTY LLLT Hair Growth Cap to customers facing or struggling with hair loss
- Generate interest in the product and encourage customers to purchase products after seeing influencer reviews and promotional pricings.
- Build credibility for the product by displaying and highlighting the CFDA and FDA certification.
- Show the medical laser technology (650nm LLLT) and clinical testing.

1..Social Media advertising

Platforms: Tiktok, Instragram, Facebook

- The target consumers are mainly between the ages of 20 and 40, who spend a lot of time online.
- Short videos can demonstrate how the cap works and explain the technology in an easy way.
- Before and After results can attract attention.

2.Personal Selling/ Product demonstration

- Customers can see and try the product.
- Staff can explain usage, treatment time, and the real results.
- Reduces purchase anxiety for a relatively expensive product.

3. Public Relations Platforms

- TikTok
- Youtube
- Instagram
- Reasons
 - Customers trust recommendations from influencers more than traditional advertisements
 - Dermatologists, hair specialists, and beauty influencers can explain the science behind LLLT technology

Mock-up test

1. Explain which of the targeting strategy is probable for this cap. Provide reasons. What is the disadvantage of this strategy? (Group 1)

This product follows a niche marketing strategy because it targets a specific customer group—People who have bald or experience hair loss and want to improve their appearance. The product is designed to solve a specific problem using red light technology. For the disadvantage, the target audience is limited, the product price may be too high for some customers, and consumers may want a cheaper product.

2. Identify alternative customer segments and describe potential offers (Group 1)

Segments and their unique characteristics/needs	Corresponding products (products offered to different segments are likely to be different)
Teenager with hair losing issue (low budget)	Adjustable hair growth cap
Genetic hair loss problem	Hair growth cap that covers the entire scalp with a long-term hair care program

3. What factor makes customers decide to buy or not to buy a product? Explain based on new product characteristics. (Group 2)

Reasons for	Reasons against
- Make hair healthier	- The radiation from the laser might lead to other health problems such as skin cancer.

- New technology, customer might never seen this product in the market - No need for hair transplant surgery - Review from the real users - Reliable brand - Boost self confidence	- There is also an alternative for people to choose (i.e hair salon treatment). - It is quite expensive. - Take long time to see the results
Overall evaluation (how quickly is it for people to adopt this product?) - The overall product takes more than 6 months to be able to see the result. This makes a lot of customers more likely to choose other alternatives. Moreover, the new product will possibly take longer as people want to see other results, so that they can consider on the product.	

4. Suggest the potential co-brand partner for Xiaomi. Explain how the co-brand partner will benefit from collaboration with Xiaomi (in terms of brand awareness, image, or loyalty). Provide reasons why the partner should be interested in this co-branding deal (Group 2)

- The potential brand partner could be Eucerin. This collaboration could raise brand awareness as their product already has accurate results that could make people interested in the product. Moreover, the co-branding can be interesting in the scenario, where the customers who have low timing, they could use this product to commute faster.

5. This product is sold for around 10,000 baht. Justify if the current price is suitable by considering reference prices that customers may use in comparing with the product's price (Group 3)

Medical hair transplant operations require a minimal level of surgery by a professional doctors (if you wish to get a quality operation) which can often be found in private hospital or certified (?) clinics, since such operation is not an immediate medical needs of community, thus, such service is expected to not be available in public hospital, which means the price is usually high, to compare, one teeth check ups in private hospital can cost up to 4,000 baht, likewise with basic cold, 2,000 baht for basic cold check up at private hospital, now imagine how much would cost for a hair transplant surgery at a private hospital, not only that, the surgery requires multiple check ups, with the transportation cost combined, it can easily cost more than 10,000, so the price justifies itself.

- But sure, large private hospital is not an only option, so the next alternative to the cap is clinic, but another choices also surface, “would you rather pay 10,000 baht one time for an FDA and CFDA (i’m not sure of CFDA, but US FDA is known for its difficulty to pass of a product, it is used many times as an unofficial international certification to ensure trust between product and customers) certified product which guarantees to grow your hair with

a cutting edge technology within half a year, or would you rather try a random clinic with random certification in a country with corrupted institution”

product

6. From the selling price, do you think the company uses which new pricing strategy? Provide your reasons. (Group 3)

- Market Skimming (Currently using)
- Reasons: the product is new and it's one of the few devices with dual medical certification so there is **no competitor** in the market. Therefore, price skimming is the only and selected strategy Xiaomi is currently choosing to maximize the profit for this product, which is a reasonable price set.

[Free Shipping] Xiaomi Youpin COSBEAUTY LLLT Hair Growth Cap 81 points laser hair growth cap lightweight and easy to carry -30D

Share:    



COSBEAUTY LLLT HAIR GROWTH CAP

หมวกเลเซอร์ปลูกผมแบบสวมหัว



฿ 11,999 [-฿26,399] -55% *

0 Reviews

Discount Coupon: 1999-200 1000-10 More>

JD Points:  Receive up to 5999 ⓘ

Options:  Orange yellow

- 1 + **Add to Cart**



Taolishi Xiaomi Global Store

 Talk to the shop

Delivery at

 Lumpini, Pathumwan, Bangkok

In stock

Delivery and after-sales service provided by the shop owner.

Fast delivery

Payment methods:



 Genuine copyright

 7 days return

7. From the picture, what are different types of pricing strategies and sales promotion that the reseller used (Group 4)

1. Discount and allowance pricing: reseller discounted the price by 55% from 26,399 to 11,999 Bath
2. Psychological pricing: resellers set the price to end with 999 in order to make customers feel it is cheap. 11,999 feels a lot cheaper than 12,000
3. Discount coupon offered to customers
4. Receive points after buying to create loyalty

8. Suggest price adjustment strategies (except discount/promotion) that can be added to the initial price. Briefly explain your pricing suggestion and provide reasons. (Group 4)

1. Product-Form Pricing: Currently, the product has limited options and no diversity. So, If there are more options such as; more colors, or different features based on different hair problems. They can attract more customers.

2. Dynamic pricing: Different conditions require different treatment time and solutions. More complex conditions need greater expertise and specialized products. So, customers perceive the pricing as fair because they pay for the level of treatment they need.

9. Currently, the product is sold via e-marketplace (lazada, shopee) and other online resellers. What are the advantages and disadvantages of this channel? Is it a suitable channel? Explain your reasons based on product, customer, and other environment factors. (Group 5)

Advantages

- Privacy. Online Shopping allows customers to buy product anonymously. (Some customers may be sensitive due to their hair loss problem so they would prefer shopping online. For example, he is bald and doesn't want to go buy the product in store because of embarrassment.)
- The products can be purchased 24/7.
- Wider reach, more opportunities in global markets
- Have reviews section from real users / customers
- Product is sent to customers' houses, no need to commute.
- Home delivery is convenient for customers who cannot easily visit clinics or stores.

Disadvantages

- Higher cost because of the GP from platforms.
- Maybe forced to engage in promotional activities like 1.1, which will reduce profit margin.
- Customers are unable to try the product in person, which increases the risk of purchasing the incorrect size.

Via e-marketplace and Online sellers solely by itself is unsuitable. Since it's a high-price hair-growth device, customers may need more trust than online information can provide.

10. Suggest different types of retail channels that can be added to complement the online channel channels. Also, describe additional functions/services that channels can perform that would benefit customers, and help increase sales. (Group 5)

- Accessible retail stores like WATSONS Thailand or Boots, Xiaomi stores that already existed, (pop-up event in Sephora) for product demonstrations, trial and free consultation. Customers can test the laser cap before buying.
- Dermatologists, Medical Spas and medical clinics already have target customers with hair loss problems. The clinic staff could demonstrate the use of the product/device. As it is reliable the sales are likely to increase.
- Electronic retail such as Power buy. Products can be displayed in stores, customers can compare products and ask staff questions.
- Hair salon and hair transplant center. These channels have attracted customers who are worried about hair loss and hair growth. Staff can recommend laser caps as auxiliary treatment, explain the correct use, and provide follow-up services to improve customer confidence and sales.

11. Which communication tools do you think are suitable to promote this product? Suggest a few tools that can be used in combination. Explain your reasons why you select these tools, based on characteristics of a product, target consumers, and each communication tool. Group 6

1.Social media

- Hair loss is a common problem among young adults and middle aged consumers, these people actively use social media.
- Videos showing a before and after could possibly attract attention.
- Social media also allows the brand to reach a large audience at a low cost and could possibly become viral online.

2 influencer

- Using influencers such as hair specialists, or lifestyle creators help build credibility to the brand. Most of the consumers more likely to trust in experts or real testers that can explain how the product work.

3.Online advertising

- People who search the keywords “hair loss”, “hair growth”, etc. are the target.
- This will help reach customers who are actively looking for a solution to their problem.

4. Livestream e-commerce

- livestream hosts can explain and answer real-time questions, which static ads can't
- They can show the process of how to use the product directly to the audience

Why these works:

- Social media brings awareness.
- Influencers can create credibility and trust among consumers.
- Online advertising targets people who need the product and encourages customers to search for more information.
- Livestream e-commerce gives knowledge and instructions.